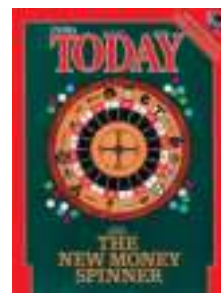
FROM THE
EDITOR-IN-CHIEF

For decades, the Indian middle class parked most of its savings in fixed deposits, gold or real estate. These investments may have brought lower returns, but were seen as low-risk comfort zones. Investing in shares was reserved for the bold, the wealthy, or the well-connected. Our cover story this week captures a silent but sweeping transformation in India's capital markets. The middle class, once hesitant and risk-averse, is now at the centre of India's financial engine. They are no longer watching from the sidelines. They are shaping the game and acting as a stabilising force that buffer the stock markets against global storms.

And they are doing so with scale. The number of 'demat' accounts rose nearly five times from 41 million in FY20 to about 192 million by FY25, a phenomenal CAGR of 35 per cent. Another tell-tale clue: household savings, as a share of GDP, have fallen from 22.7 per cent in FY21 to 18.5 per cent in FY25. That money hasn't disappeared. It's simply moved to the stock market—much of it, at least. That is evident from the unprecedented boom in the mutual funds industry. Their total assets under management (AUM) have trebled over five years to reach Rs 74.4 lakh crore by the end of Q1FY26. Even in this larger pie, the share of small investors has increased to 28 per cent, from 20 per cent a decade ago. Together with HNIs, they now constitute 63 per cent of the total AUM in mutual funds. The rise of Systematic Investment Plans (SIPs) is another marker of this maturity. Monthly SIP contributions stood at Rs 27,269 crore in Q1FY26—up from just Rs 8,055 crore in FY19. There are now 92 million SIP accounts in India, with over 86 million of them actively contributing every month.



▲ **July 31, 1985**

Yet the transformation is not limited to mutual funds or SIPs. Retail investors now constitute nearly half of all trades in the stock market's cash segment, up from a third in FY19. In the derivatives segment, their share has more than doubled in recent years, from 20 per cent to 44 per cent. Many have experimented with futures and options; many have made mistakes. But the larger trend is unmistakable: India's small investors are learning, adapting, and evolving.

This new base of domestic capital has fundamentally altered the dynamics of the Indian market. Consider this: in the first five months of this year, foreign portfolio investors (FPIs) pulled out over Rs 97,000 crore from Indian equities and bond markets. This was a staggering reversal, driven by global headwinds, including US Federal Reserve rate hikes, geopolitical tensions and shifting risk appetites. A decade ago, such an exodus would have sent Indian indices into free fall. Instead, the markets held firm. In July 2025, the Sensex continues to hover around the 81,000 mark, while the Nifty remains near 25,000.

The resilience was not accidental. It was underwritten by a steady stream of domestic liquidity that ensured retail capital would step in when foreign money stepped out. Between FY19 and FY25, the combined holdings of retail investors and mutual funds rose from 15.8 per cent of the market capitalisation of NSE-listed companies to 19.9 per cent. In the same period, FPI share declined from 21 per cent to 17.5 per cent. The balance of power is clearly shifting. India's markets are no longer wholly dependent on the mood swings of global capital. The domestic investor is emerging as both a counterweight and a cushion.

This is the outcome of a decade-long confluence of policy, technology and behavioural change. Regulatory moves by SEBI, such as e-KYC, two-day settlement cycles and greater transparency, have improved access and trust. Digital infrastructure has been key. App-based brokerages like Zerodha, Groww and Upstox have lowered entry barriers and demystified trading. Mobile penetration, cheap data and fintech innovation have brought market access to every district in the country. So, too, has financial literacy. Government campaigns, school-based investor education programmes and the rise of 'finfluencers' have helped create a generation of investors who are more aware of products, risks and strategies than ever before.

What sets this moment apart is the depth of participation. The average age of new investors is now just over 28. Nearly a quarter of new demat accounts are held by women—up from 16 per cent in 2019. Proof of this new spirit putting down roots is, in fact, stronger in places you would think unlikely. Between FY23 and FY25, Uttar Pradesh outpaced the national average in demat account growth with a jump of 65 per cent; Bihar registered 70 per cent. Maharashtra and Gujarat remain top contributors, but the surge from Tier-2 and Tier-3 towns is what's driving the next phase of India's financial democratisation. Deputy Editor Anilesh S. Mahajan, who unpacks all ingredients of this quiet revolution, points out that the risks still remain. The boom in retail F&O trading has also meant significant losses for retail investors. SEBI data indicates they lost nearly Rs 1.8 lakh crore in options trading between FY22 and FY24. IPO euphoria has led to post-listing corrections. Also, rising household debt, particularly through credit cards and unsecured loans, is a warning signal regulators are watching closely.

But there is no doubt there is a structural shift that is rewriting the social contract between India's middle class and the capital market. They are not just riding the bull run. They are the bull run.

(Aroon Purie)